

on a calendar basis, the first leg is about 15% longer (38 days versus 33 days). In bear markets, the first leg is longer than the second one when they should be the same length.

Using the first leg height (in dollars), projected upward from the bottom of the corrective phase to get a price target, works only 52% to 60% of the time.

What all this information means is that when predicting a price target, be conservative. I'll talk more about this in Trading Tactics and elsewhere in this chapter.

Tour

[Figure 47.1](#) shows a measured move up chart pattern with the three components labeled. The first leg sees price following a trendline. Many times a trendline drawn on either side of the minor highs and lows constructs a channel (which I didn't do in this example).

The corrective phase retraces a substantial portion of the rise, usually 40% to 60%, before price resumes rising. In the figure, the corrective phase begins in late January and extends through most of February. Price retraces 55% of the first leg price move.

Once the correction completes, price climbs even more rapidly during the second leg (in this example). You can see that price bows upward instead of touching the trendline in a sort of rounding-over maneuver before topping out in June. The rise constitutes what is commonly called the second leg. The second leg is the rise from the bottom of the corrective phase to the end of the chart pattern.